

NOTES

forming part of the standalone financial statements

34. Contingencies and commitments (Contd.)

Accordingly, the Company would be able to assess the financial impact, if any, of the possible obligation only on the occurrence or non-occurrence of uncertain future events, related to the legal course, not entirely within the control of the Company, and the consequent actions of the Union and the State Government.

While the Company had previously reported and disclosed an estimated amount of contingent liability towards possible obligation under the aforesaid ORISED matter, as on date, based on the above uncertainty, along with an opinion from senior legal counsel obtained by the Company, there is no present/legal obligation in respect of the levy related to the ORISED Act, 2004 and its financial impact along with the possibility of outflow at this stage is unlikely.

The Company has, accordingly, not recognised any provision in its financial statements.

- (b) Other amounts for which the Company may contingently be liable aggregate to **₹5,773.38** crore (March 31, 2025: ₹5,152.02 crore).

The details of significant demands are as below:

- (i) the Company pays royalty on iron ore on the basis of quantity removed from the leased area at the rates based on notification issued by the Ministry of Mines, Government of India and the price published by Indian Bureau of Mines (IBM) on a monthly basis.

A demand of ₹411.08 crore was raised by the Deputy Director of Mines, Joda, claiming royalty at sized ore rates on dispatches of ore fines. The Company filed a revision petition before the Mines Tribunal, Government of India, Ministry of Mines, New Delhi, challenging the legality and validity of the demand raised and also to grant refund of excess royalty paid by the Company.

Mines tribunal vide its order dated November 13, 2014 stayed the demand of royalty on iron ore for Joda East mines of ₹314.28 crore upto the period ending March 31, 2014. For the demand of ₹96.80 crore for April 2014

to September 2014, a separate revision application was filed before the Mines Tribunal. The matter was heard by the Mines Tribunal and a stay was granted on the total demand with a directive to the Government of Odisha not to take any coercive action for realisation of demand.

Subsequently, the Hon'ble High Court of Orissa in a similar matter held the circulars based on which demands were raised to be valid. On the basis of this judgement the matter was challenged in the Supreme Court, which is pending to be listed for hearing.

In the meanwhile, on October 26, 2022, an assessment order (for the period April 2022 to September 2022) was served, confirming that royalty will be paid for Calibrated Lump Ore and Fines at their respective prices published by the IBM w.e.f. April 2022.

The matter is pending for hearing before the Mines Tribunal, New Delhi, subject to the final hearing in the Hon'ble Supreme Court.

Likely demand of royalty on fines at sized ore rates as on March 31, 2026 is **₹2,696.58** crore (March 31, 2025: ₹2,696.58 crore).

- (ii) The Hon'ble Supreme Court pronounced its judgement in the Common Cause case on August 2, 2017 wherein it directed that compensation equivalent to the price of mineral extracted in excess of environment clearance or without forest clearance from the forest land be paid.

In pursuance to the Judgement of the Hon'ble Supreme Court, demand/show cause notices were issued during 2017-18 by the Deputy Director of Mines, Odisha and the District Mining Office, Jharkhand.

In respect of the above demands outstanding as on March 31, 2026:

- › the Company has challenged demands amounting to ₹132.91 crore for production in excess of lower of mining plan and consent to operate limits raised by the Deputy Directors of Mines, Odisha before

NOTES

forming part of the standalone financial statements

34. Contingencies and commitments (Contd.)

the Mines Tribunal and obtained a stay of the matter. Mines Tribunal, Delhi vide order dated November 26, 2018 sent back the matter to the State for fresh consideration.

On September 14, 2022, the Deputy Director of Mines, Government of Odisha issued a fresh demand amounting to ₹107.00 crore against the Company directing payment of compensation amount towards unlawful production in the mines in violation of mining plan/consent to operate. Revision Applications have also been filed against the same on November 3, 2022 with the Mines Tribunal. Thereafter, the Company filed writ petitions against the Order passed by the revisional authority in the case of Katamati Iron Ore mines & Manmora Iron Ore Mines on March 22, 2024.

The Revisional Authority passed orders dismissing the Revisional Applications filed by the Company for Katamati Iron Ore Mines and Manmora iron ore mines and set aside the orders passed by Deputy Director of Mines against the Company for other mining locations amounting to ₹62.09 crore. Subsequently, on September 01, 2025, the State has raised a demand for interest on delayed payment of these demands amounting to ₹59.40 crore. The Company has challenged these demands via revision applications filed before Mines Tribunal, Delhi on September 18, 2025 and notice has been issued to the State inviting its comments. Demand stayed on November 17, 2025.

The demand amount of **₹104.50** crore is considered contingent.

- › the Company based on its internal assessment had provided an amount of ₹1,412.89 crore against demand notices amounting to ₹2,140.30 crore received from the District Mining Office, Jharkhand for producing more than environment clearance and the balance amount of ₹727.41 crore was considered contingent.

Subsequently, based on a favourable judgement of the Revisionary Authority wherein the demands of the State were set aside and legal opinion obtained by the Company, it was considered appropriate to reverse the provision of ₹1,412.89 crore and also drop ₹727.41 crore from contingent liability.

Subsequently, the Hon'ble High court of Jharkhand in its order on similar matter related to other coal companies decided that the District Mining Officer do not have the authority to raise such demands.

Pursuant to the above order, the Government of Jharkhand has authorised its designated officials to deal on the above matters.

Thereafter, on February 2, 2026 and March 30, 2026 the Company has again received similar demands amounting to ₹2,140.30 crore in respect of its collieries in Jharia and West Bokaro in the State of Jharkhand.

Based on the earlier favourable judgement of the Revisionary Authority and external legal opinion obtained by Company, the said demand of **₹2,140.30** crore is considered contingent.

- (iii) As per the Mine Development & Production Agreement (MDPA) signed by erstwhile Tata Steel Mining limited (TSML) (now merged with the Company) with the State Government, Sukinda Chromite Mine of TSML is required to dispatch annually 80 percent of the average annual production of the last two years before the mine was put into auction. In view of the low volume of open cast minable reserves and inoperable conditions in the mine, TSML approached the State Government for revision of MDPA targets. During discussions with the State, TSML had obtained approval for modified mining plan of six lakh tonnes on July 22, 2022 from the Indian Bureau of Mines (IBM) for the period FY2023 till FY2025 basis which the operational plan of TSML was revised accordingly.

NOTES

forming part of the standalone financial statements

34. Contingencies and commitments (Contd.)

On March 13, 2024 the Company received a letter from IBM stating that the modification plan approved vide IBM letter dated July 22, 2022 is no more relevant and is withdrawn. In response to the aforesaid letter, the Company has submitted the Mine Closure plan on March 29, 2024 which was approved on October 08, 2024.

The Company has received various demand letters from the Deputy Director of Mines, Jajpur amounting to ₹4,314 crore on different dates for shortfall in despatch for the period July 23, 2023 to July 22, 2025 which has been challenged by the Company in the Hon'ble High Court of Orissa.

Subsequently, in a judgement dated April 20, 2026, the Court had quashed the demand notices and directed the State to take fresh steps based on the legal conclusions provided in the judgement.

Accordingly, based on the above and external legal opinion obtained by the Company, the demand amount of ₹4,314.00 crore (March 31, 2025: ₹1,563.76 crore) is not considered as contingent.

B. Commitments

- (a) The Company has entered into various contracts with suppliers and contractors for the acquisition of plant and machinery, equipment and various civil contracts of capital nature amounting to **₹19,958.06** crore (March 31, 2025: ₹18,048.64 crore).

Other commitments as at March 31, 2026 amount to **₹0.01** crore (March 31, 2025: ₹0.01 crore).

- (b) The Company has given undertakings to:
- (i) IDBI not to dispose of its investment in Wellman Incandescent India Ltd.
 - (ii) IDBI and ICICI Bank Ltd. (formerly ICICI) not to dispose of its investment in Standard Chrome Ltd.

- (c) The Company has given guarantees aggregating **₹84.91** crore (March 31, 2025: ₹156.66 crore) details of which are as below:
- (i) in favour of Commissioner Customs for **₹1.07** crore (March 31, 2025: ₹1.07 crore) given on behalf of Timken India Limited in respect of goods imported.
 - (ii) in favour of The President of India for **₹82.59** crore (March 31, 2025: ₹82.59 crore) against performance of export obligation under the various bonds executed by a joint venture Jamshedpur Continuous Annealing & Processing Company Private Limited.
 - (iii) in favour of State Bank of India for **₹1.10** crore (March 31, 2025: ₹47.26 crore) guaranteeing the financial liability of a subsidiary, Tata Steel Utilities and Infrastructure Service Limited (TSUISL), for the purpose of availing banking facility for TSUISL's business operations including working capital and performance contract.
 - (iv) in favour of State Bank of India for **Nil** (March 31, 2025: ₹1.42 crore) guaranteeing the financial liability of a subsidiary, Tata Steel Downstream Products Limited (TSDPL) for the purpose of availing banking facility for TSDPL's business operations including working capital and performance contract.
 - (v) in favour of ICICI Bank for **Nil** (March 31, 2025: ₹24.17 crore) guaranteeing the financial liability of an associate TRF Limited (TRF), for the purpose of availing banking facility for TRF's business operations including working capital and performance contract.
 - (vi) in favour of President of India for **₹0.15** crore (March 31, 2025: ₹0.15 crore) against advance license.

NOTES

forming part of the standalone financial statements

35. Other significant litigations

- (a) Odisha Legislative Assembly issued an amendment to Indian Stamp Act, 1899, on May 9, 2013 and inserted a new provision (Section 3A) in respect of stamp duty payable on grant/renewal of mining leases. As per the amended provision, stamp duty is levied equal to 15% of the average royalty that would accrue out of the highest annual extraction of minerals under the approved mining plan multiplied by the period of such mining lease.

The Company filed a writ petition challenging the constitutionality of the Act on July 5, 2013. The Hon'ble High Court, Cuttack passed an order on July 9, 2013 granting interim stay on the operation of the Amendment Act, 2013. Because of the stay, as on date, the Act is not enforceable and any demand received by the Company is not liable to be proceeded with. Meanwhile, the Company received demand notices for the various mines at Odisha totalling to **₹5,579.00** crore (March 31, 2025: ₹5,579.00 crore).

In April 2015, the Company had received an intimation from Government of Odisha, granting extension of validity period for leases under the MMDR Amendment Act, 2015 upto March 31, 2030 in respect of eight mines and upto March 31, 2020 for two mines subject to execution of supplementary lease deed. The Company had paid the stamp duty and registration charges as per the earlier provisions of the Stamp Act, 1899 totaling ₹413.72 crore for supplementary deed execution in respect of eight mines out of the above mines.

The Company subsequently received notices demanding differential stamp duty and registration fees from Deputy Director of Mines amounting to **₹69.16** crore in respect of Joda East iron ore mine and **₹86.07** crore in respect of Katamati iron ore Mine. These have also been challenged by the Company by filing Writ Petitions, for which hearing took place on multiple dates. Meanwhile, the Court has directed the Deputy Director of Mines not to take any coercive action against the Company.

On November 26, 2025, the Company has received demand notices regarding differential stamp duty and registration fees amounting to **₹5.30** crore, **₹4.57** crore, **₹13.58** crore and **₹94.98** crore in respect of Bamebari, Tiringpahar, Joda West and Khondbond Iron Ore & Manganese Mine. These were challenged by filing writ petition on December 1, 2025. The case was listed for hearing on December 8, 2025 and was rescheduled for hearing on February 10, 2026 which could not be taken up and the next date of hearing is not known.

Based on external legal opinion obtained by the Company, the Company is of the view that it is remote that the claim will sustain on ultimate resolution of the legal case by the court.

- (b) Noamundi iron ore mine of the Company was due for its third renewal with effect from January 1, 2012. The application for renewal was submitted by the Company within the stipulated time, but it remained pending consideration with the State and the mining operations were continued in accordance with the prevailing law.

By a judgement of April 2014 in the case of Goa Mines, the Supreme Court took a view that second and subsequent renewal of mining lease can be effected once the State considers the application and decides to renew the mining lease by issuing an express order. State of Jharkhand issued renewal order to the Company on December 31, 2014. The State, however, took a view on interpretation of Goa Mines judgement that the mining carried out after expiry of the period of second renewal was 'illegal' and hence, issued a demand notice of **₹3,568.31** crore being the price of iron ore extracted. The said demand was challenged by the Company before the Jharkhand High Court.

The writ petition filed by the company before the Hon'ble High Court of Jharkhand was heard and an interim order was given wherein the Court directed the Company to pay an amount of ₹371.83 crore in 3 equal instalments, first instalment by October 15, 2015, second instalment by November 15, 2015 and third instalment by December 15, 2015.

NOTES

forming part of the standalone financial statements

35. Other significant litigations (Contd.)

In view of the interim order of the Hon'ble High Court of Jharkhand, ₹124.00 crore was paid on September 28, 2015, ₹124.00 crore on November 12, 2015 and ₹123.83 crore on December 14, 2015 under protest.

The case is pending before the Hon'ble High court for disposal. The State issued similar terms and conditions to other mining lessees in the State rendering the mining as illegal.

Based on the Company's assessment of the Goa mines judgement read with the Ordinance issued in the year 2015, and external legal opinion obtained, the Company believes that it is remote that the demand of the State would sustain.

- (c) The Supreme Court of India vide its order dated September 24, 2014, cancelled the coal blocks allocated to various entities which included one coal block allocated to the Tata Steel BSL Limited ("TSBSL", entity merged with the Company in an earlier year). Subsequently, the Government of India issued the Coal Mines (Special Provision) Act, 2015, which inter alia deals with the payment of compensation to affected parties for investment in coal blocks.

The Company filed its claim for compensation with the Government of India, Ministry of Coal ('MoC'). The MoC informed that all statutory license, consent approvals, permission required for undertaking of coal mining operations in New Patrapara Coal Mine now vested with Singareni Collieries Company Ltd. ("SCCL", a state Government Undertaking) to whom the mine was subsequently allotted.

The MoC/Union of India filed a supplementary affidavit dated February 11, 2020 before the Delhi High Court vide which it informed that payment of compensation can be made to the prior allottee after the mine is successfully allotted and compensation is deposited by the successful allottee, following the sequence mentioned in section 9 of Coal Mine (Special Provisions) Act, 2015. The MoC vide order dated May 17, 2021 directed SCCL to pay compensation to erstwhile TSBSL.

Subsequently, the Union of India filed an affidavit dated March 6, 2023 before the High Court vide which it informed that the successful allottee i.e., M/s SCCL had surrendered

the New Patrapara Coal Block. The Hon'ble High Court directed the MoC and Odisha Industrial Infrastructure Development Corporation (IDCO) to file updated status report outlining the amount payable to the prior allottee and indicate the date by which amount could be disbursed.

On July 5, 2023, the Delhi High Court directed the State of Odisha and IDCO to release the available balance of ₹105.33 crore within four weeks and directed the Union of India to file a detailed affidavit clearly stating as to what steps are being taken to ensure that the coal block is successfully allocated within a reasonable period of time. Government of Odisha along with IDCO released ₹105.33 crore on August 8, 2023. Further, an amount of ₹0.32 crore was released by IDCO on August 10, 2023 towards compensation pertaining to cost for geological reports.

Subsequently, the MoC vide its letter dated April 15, 2024, informed that the earlier order dated May 15, 2021 wherein compensation payable to the prior allottee was fixed, stands withdrawn and that the compensation needs to be redetermined.

On November 26, 2024, NLC India Ltd. was declared as the successful allottee of the coal block i.e., New Patrapara South Coal Block, which is a part of the larger New Patrapara Coal Block.

In view of the change in law and facts, the Company filed an application for withdrawal of its writ petition and seeking liberty to file a fresh writ petition to include subsequent developments. The Court granted liberty to the Company to include in its Writ Petition any other ancillary relief as it may deem appropriate. The Company has subsequently filed a writ petition on May 26, 2025 and a rejoinder on February 24, 2026, which are yet to be taken on record. The next date of hearing is schedule to be on July 23, 2026.

The receivable in respect of the de-allocated coal block in the financial statements of the Company amounts to ₹308.90 crore (net of provision of ₹138.74 crore).

Based on an assessment of the matter, including evidences supporting the expenditures and related claims, the Company considers the aforesaid amount to be good and fully recoverable.

NOTES

forming part of the standalone financial statements

35. Other significant litigations (Contd.)

- (d) The Company upon merger of erstwhile Tata Steel Long Products Limited ('TSLP') has a receivable of ₹179.00 crore towards the de-allocated Radhikapur (East) Coal Block.

Pursuant to the judgement of the Hon'ble Supreme Court, the Government of India promulgated the Coal Mines (Special Provision) Act, 2015 (the "Coal Mines Act") for fresh allocation of the coal mines through auction. In terms of the Coal Mines Act, the prior allottee would be compensated for expenses incurred towards land and mine infrastructure. The validity of the Act has been challenged by Federation of Indian Mineral Industries ('FIMI') in 2019 before the Hon'ble Supreme Court to the extent that the Act does not provide grant of just, fair and equitable compensation in a time bound manner to the prior allottees of the coal blocks.

Tata Steel Long Products Limited (TSLP) has filed an application on December 15, 2022, before the Hon'ble

Supreme Court in the pending writ of FIMI seeking to expedite the disbursement of compensation. On March 6, 2023, the MoC submitted a status affidavit to the High Court with regard to the ongoing case which was filed by TSLP challenging the constitutional validity of the provisions dealing with the payment of compensation to the prior allottee of the Coal Mines (Special Provisions) Act, 2015. On March 7, 2023, TSLP submitted that the status affidavit did not comply with the previous orders passed. The Company has also filed a rejoinder on May 9, 2025, claiming compensation. On May 4, 2026 the matter was taken up for hearing and the Court was pleased to allow the Application for change of name from Tata Steel Long Products to Tata Steel Limited. Further, the application for amendment of writ petition also stands allowed on the same date. The case is listed for hearing on July 23, 2026.

Based on an assessment of the matter including evidence supporting the expenditure and claim and an external legal opinion obtained by the Company, the aforesaid amount is considered good and fully recoverable.

NOTES

forming part of the standalone financial statements

36. Capital management

The Company's capital management is intended to create value for shareholders by facilitating the achievement of long-term and short-term goals of the Company.

The Company determines the amount of capital required on the basis of annual business plan coupled with long-term and short-term strategic investment and expansion plans. The funding needs are met through equity, cash generated from operations, long-term and short-term bank borrowings and issue of non-convertible debt securities.

The Company monitors the capital structure on the basis of net debt to equity ratio and maturity profile of the overall debt portfolio of the Company.

Net debt includes interest bearing borrowings including lease obligations less cash and cash equivalents, other bank balances (including non-current earmarked balances), current investments and foreign currency hedges against borrowings.

The table below summarises the capital, net debt and net debt to equity ratio of the Company.

	As at March 31, 2026	As at March 31, 2025
Equity share capital	1,248.60	1,248.60
Other equity	1,34,284.71	1,25,483.34
Total equity (A)	1,35,533.31	1,26,731.94
Non-current borrowings	50,666.45	51,040.98
Non-current lease obligations	3,766.16	3,177.06
Current borrowings	14,037.73	8,640.44
Current lease obligations	578.93	364.91
Gross debt (B)	69,049.27	63,223.39
Total capital (A+B)	2,04,582.58	1,89,955.33
Gross debt as above	69,049.27	63,223.39
Less: Current investments	0.11	0.12
Less: Cash and cash equivalents	2,912.79	3,111.93
Less: Other balances with banks (including non-current and current earmarked balances)	386.16	1,138.29
Less: Foreign currency hedges against borrowings	664.28	149.50
Net debt (C)	65,085.92	58,823.55
Net debt to equity⁽ⁱ⁾	0.50	0.44

- i) Net debt to equity ratio as at March 31, 2026 and March 31, 2025 has been computed based on average of opening and closing equity.

NOTES

forming part of the standalone financial statements

37. Disclosures on financial instruments

This section gives an overview of the significance of financial instruments for the Company and provides additional information on balance sheet items that contain financial instruments.

The details of significant accounting policies, including the criteria for recognition, basis of measurement and the basis on which income and expenses are recognised in respect of each class of financial asset, financial liability and equity instrument are disclosed in note 2(m), page F36 to the financial statements.

(a) Financial assets and liabilities

The following tables present the carrying value and fair value of each category of financial assets and liabilities as at March 31, 2026 and March 31, 2025.

As at March 31, 2026

(₹ crore)

	Amortised cost	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Fair value through profit and loss	Total carrying value	Total fair value
Financial assets:							
Cash and bank balances	3,298.95	-	-	-	-	3,298.95	3,298.95
Trade receivables	1,631.65	-	-	-	-	1,631.65	1,631.65
Investments	6,831.35	86,601.30	-	-	176.99	93,609.64	94,531.73
Derivatives	-	-	97.34	931.66	-	1,029.00	1,029.00
Loans	6.58	-	-	-	-	6.58	6.58
Other financial assets	2,205.44	-	-	-	-	2,205.44	2,205.44
	13,973.97	86,601.30	97.34	931.66	176.99	1,01,781.26	1,02,703.35
Financial liabilities:							
Trade payables	25,111.29	-	-	-	-	25,111.29	25,111.29
Borrowings other than lease obligations	64,704.18	-	-	-	-	64,704.18	65,029.14
Derivatives	-	-	2.12	8.43	-	10.55	10.55
Other financial liabilities	10,398.55	-	-	-	-	10,398.55	10,398.55
	1,00,214.02	-	2.12	8.43	-	1,00,224.57	1,00,549.53

NOTES

forming part of the standalone financial statements

37. Disclosures on financial instruments (Contd.)

As at March 31, 2025

(₹ crore)

	Amortised cost	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Fair value through profit and loss	Total carrying value	Total fair value
Financial assets:							
Cash and bank balances	4,250.22	-	-	-	-	4,250.22	4,250.22
Trade receivables	1,565.65	-	-	-	-	1,565.65	1,565.65
Investments	6,133.96	65,532.35	-	-	139.86	71,806.17	73,571.04
Derivatives	-	-	21.97	217.10	-	239.07	239.07
Loans	4,840.96	-	-	-	-	4,840.96	4,877.42
Other financial assets	3,073.56	-	-	-	-	3,073.56	3,073.56
	19,864.35	65,532.35	21.97	217.10	139.86	85,775.63	87,576.96
Financial liabilities:							
Trade payables	20,601.11	-	-	-	-	20,601.11	20,601.11
Borrowings other than lease obligations	59,681.42	-	-	-	-	59,681.42	60,308.04
Derivatives	-	-	35.25	137.41	-	172.66	172.66
Other financial liabilities	10,994.58	-	-	-	-	10,994.58	10,994.58
	91,277.11	-	35.25	137.41	-	91,449.77	92,076.39

Investments in mutual funds and derivative instruments (other than those designated in a hedging relationship) are mandatorily classified as fair value through profit and loss.

(b) Fair value hierarchy

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Level 1 to Level 3, as described below:

Quoted prices in an active market (Level 1): This level of hierarchy includes financial assets that are measured by reference to quoted prices (unadjusted) in active markets for identical assets or liabilities. This category consists of investment in quoted equity shares and mutual funds.

Valuation techniques with observable inputs (Level 2): This level of hierarchy includes financial assets and liabilities, measured using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This level of hierarchy includes the Company's over-the-counter (OTC) derivative contracts.

Valuation techniques with significant unobservable inputs (Level 3): This level of hierarchy includes financial assets and liabilities measured using inputs that are not based on observable market data (unobservable inputs). Fair value is determined in whole or in part, using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. This Level includes investment in unquoted equity shares and preference shares.

NOTES

forming part of the standalone financial statements

37. Disclosures on financial instruments (Contd.)

(₹ crore)

	As at March 31, 2026			
	Level 1	Level 2	Level 3	Total
Financial assets:				
Investments in mutual funds	0.11	-	-	0.11
Investments in equity shares	1,861.58	-	84,739.72	86,601.30
Investments in preference shares	-	-	176.88	176.88
Derivative financial assets	-	1,029.00	-	1,029.00
	1,861.69	1,029.00	84,916.60	87,807.29
Financial liabilities:				
Derivative Financial Liabilities	-	10.55	-	10.55
	-	10.55	-	10.55

(₹ crore)

	As at March 31, 2025			
	Level 1	Level 2	Level 3	Total
Financial assets:				
Investments in mutual funds	0.12	-	-	0.12
Investments in equity shares	1,871.85	-	63,660.50	65,532.35
Investments in preference shares	-	-	139.74	139.74
Derivative financial assets	-	239.07	-	239.07
	1,871.97	239.07	63,800.24	65,911.28
Financial liabilities:				
Derivative Financial Liabilities	-	172.66	-	172.66
	-	172.66	-	172.66

- (i) Current financial assets and liabilities are stated at carrying value which is approximately equal to their fair value.
- (ii) Derivatives are fair valued using market observable rates and published prices together with forecasted cash flow information where applicable.
- (iii) Investments carried at fair value are generally based on market price quotations. Investments in equity shares of subsidiaries included in Level 3 of the fair value hierarchy have been valued primarily using the income approach to arrive at their fair value. Fair values are determined in whole or in part, using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. The valuation requires management to make certain assumption about the model inputs including forecast cash flows, discount rate and volatility. Cost of other unquoted equity instruments has been considered as an appropriate estimate of fair value because of a wide range of possible fair value measurements and cost represents the best estimate of fair value within that range.
- (iv) Fair value of borrowings which have a quoted market price in an active market is based on its market price which is categorised as Level 1. Fair value of borrowings which do not have an active market or are unquoted is estimated by discounting expected future cash flows using a discount rate equivalent to the risk-free rate of return adjusted for credit spread considered by lenders for instruments of similar maturities which is categorised as Level 2 in the fair value hierarchy.